

Table 1 Benchmark parameters

Parameter	Notation	Value	Target/source
Mean discount factor	β	0.985	Annual real rate = 4%
Dispersion in discount factor	ϵ_β	0.005	%Households with $a/y < 1\%$
Labour supply elasticity	$1/\theta$	1.0	Beraja et al. ?
Disutility of labour	ψ	5.8	Hours worked = 42%
Persistence of x	ρ	0.955	Persistence of log-wages = 0.92
Variance of innovation to x	σ_η^2	1.5%	Variance of log-wages = 0.04
Per-capita gov. spending	G	0.10	$G/Y = 20\%$
Dividend allocation	ω	0.32	NIPA tables
Elasticity of substitution	ϵ	6	Christiano et al. ?
Price reset probability	λ	0.15	McKay et al. ?
Taylor rule coefficient	ζ	0.0	-
Stock of liquid assets	B^g	1.2× annual income	SCFs
Dividend tax	τ_d	0.25	Gourio and Miao ?
Lump-sum transfer	T	0.03	$T/Y = 6\%$
Size of region 1	μ_1	3.1%	Relative county population
Home bias	α	0.58	CFS